challenges of managing a Warren Buffett portfolio are fully discussed in Chapter 6.)

Hollywood has given us a visual cliché of what money managers look like: talking into two phones at once, frantically taking notes while trying to keep an eye on a bank of computer screens that blink and blip endlessly, and showing pained expressions whenever one of those computer blinks shows a minuscule drop in a stock price.

Warren Buffett is far from that kind of frenzy. He moves with the calm that comes with great confidence. He has no need to watch a dozen computer screens at once; the minute-by-minute changes in the market are of no interest to him. Warren Buffett does not think in seconds, minutes, days, months, or quarters, but in years. He doesn't need to keep up with hundreds of companies, because his common stock investments are focused in a select few. He refers to himself as a "focus investor"—"We just focus on a few outstanding companies."[1] This approach, called focus investing, greatly simplifies the task of portfolio management.

Focus investing is a remarkably simple idea, and yet, like most simple ideas, it rests on a complex foundation of interlocking concepts. In this chapter, we look more closely at the effects focus investing produces. The goal here is to give you a new way of thinking about portfolio management. Fair warning: In all likelihood, this new way is the opposite of what you have always been told about investing in the stock market.

The current state of portfolio management appears to be locked into a tug-of-war between two competing strategies: (1) active portfolio management and (2) index investing.

Active portfolio managers are constantly at work buying and selling a great number of common stocks. Their job is to try to keep their clients satisfied, or risk losing clients and ultimately their jobs. To stay on top, active managers try to predict what will happen with stocks in the coming months so at the end of the quarter the portfolio is in good relative shape and the client is happy.

Index investing, in contrast, is a buy-and-hold approach. It involves assembling and then holding a broadly diversified portfolio of common stocks deliberately designed to mimic the behavior of a specific benchmark index, such as the Standard & Poor's 500.